

I agree with that.

Where do you think we are now? Do hedge funds still have some premium in risk-adjusted returns versus other investments?

My instincts are that they still have an edge, but not by very much.

Do you still invest in hedge funds?

I haven't found new good ones to invest in for a while. If I did, though, I would happily invest.

So you are still invested in ones from earlier days?

Yes, but the number is diminishing, as I decide some of these funds aren't as good as I thought they were, or their returns have declined.

When you were actively searching for new hedge funds to invest in, with the number of hedge funds having grown so much, how did you decide which ones to look at?

I screened out funds that had an annualized standard deviation greater than 15 percent or had an annualized return less than 12 percent or had a bad year.

Were there any managers you met who were good at the markets through an intuitive sense rather than any explicit analytics?

I spent a day with Bruce Kovner many years ago, and I thought he had a good qualitative grasp of all kinds of interconnections in the markets.¹³ If you were a person who was able to think like Bruce Kovner, you could follow that path and be successful. I co-invested with Bruce on one of his ideas. Bruce bought an oil tanker and allowed a number of people he knew to invest alongside with him. I think I owned 20 feet of this tanker. It was called the Empress Des Mers, and at the time, it was the largest oil tanker in the world. The tanker could be bought for a little above scrap value because there was a surplus of tankers at that time, and the older tankers were in mothballs. I think this tanker had a scrap value of about \$4 million, and Bruce bought it for \$6 million. We just sat on it. It was sort of like an option on the oil market. When activity picked up in the oil market, there was a huge demand for tankers, so our tanker got used over